

2 - Stakeholder v Shareholder approach

Flipped learning - Please watch this short video before the start of the lesson



Do Now

From your existing understanding, fully explain the difference between shareholders and stakeholders.

What is the SHAREHOLDER approach to business?



Learning Outcome

By the end of the lesson I will be able to explain stakeholder and shareholder influences on business objectives and recognise potential conflicts

To Know



- I know how to identify and give examples of internal and external stakeholders.
- I know how to explain the objectives of different stakeholder groups (e.g. employees, customers, suppliers, local community).
- I know how to describe the stakeholder approach (business decisions made in the interest of all stakeholders).
- I know how to describe the shareholder approach (focus on maximising shareholder returns).
- I know how to analyse how stakeholder and shareholder priorities can influence business strategy.
- I know how to evaluate the potential conflicts between shareholder profit aims and wider stakeholder expectations.



You Do



What are the potential OBJECTIVES of the following Canada Goose stakeholders?

Shareholders

Managers

Employees

External

Customers

Suppliers

Government

Local communities (e.g. where manufacturing takes place)

Pressure Groups

Stakeholder Approach



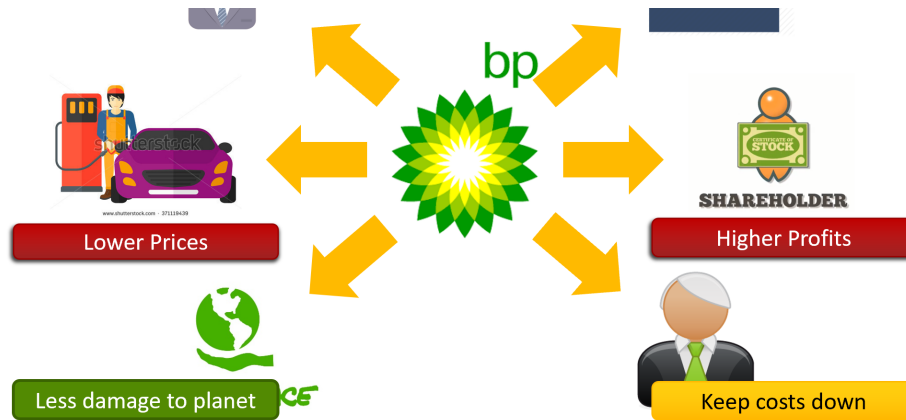
What is the STAKEHOLDER approach to business?

Higher pay



More oil for machines





**Why is it difficult for BP to meet all the objectives of the different stakeholder groups?
Give at least two examples**

Affirmative Checking

Practice Questions

06/22



Peloton recalling all treadmills

In May 2021, *Peloton* announced recalls of 126,000 treadmills over safety concerns. The announcement marked a major reversal of *Peloton's* initial reaction. It comes after weeks of discussions with the US Consumer Product Safety Commission (CPSC) over reports of faults with the Peloton Treadmill.

5

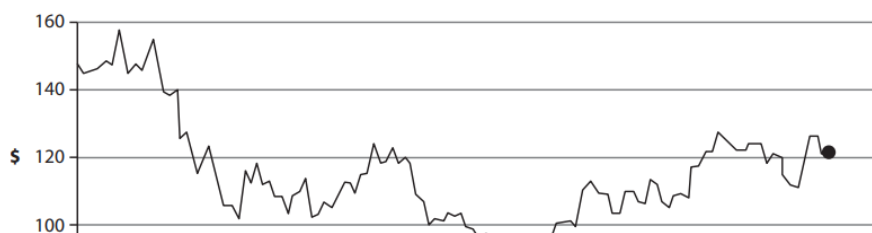
In a statement, *Peloton* apologised for not acting more quickly after reports of one death and dozens of injuries.

"I want to be clear; *Peloton* made a mistake in our initial response to the CPSC's request that we recall the Peloton Treadmill," CEO John Foley said. "We should have listened to them from the outset. For that, I apologise."

10

Peloton shares closed nearly 15% down. This wiped \$4.1bn from *Peloton's* market value.

Peloton share price February–August 2021





(e) Assess the possible impact on *Peloton's* internal stakeholders from the recall of its treadmill.

(12)

Define Key term:	
Paragraph 1 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	One ... is.... This is because... Consequently/This means/This will lead to... Therefore... As a result, ...
Paragraph 2 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	In addition another ... is....because.... Consequently/This means/This will lead to... Therefore...
Paragraph 3 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	However, ... This is because... Consequently/This means/This will lead to... Therefore... As a result, ...

Conclusion:	Overall, (Directly answer the question asked) This is because... (at least TWO of the following) However, success will depend upon... In the short term/In the long term... It is recommended that ...
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01/22

Extract F

Reimagine, redesign, reorganise: the Starbucks approach to strategic transformation

In June 2020, Starbucks reported a large decrease in its American sales. Starbucks announced a significant shift in strategy; the launch of a new service concept called Starbucks Pickup for an 'on-the-go' experience.

The company calls this a 'transformational phase' and a 'bridge to the future' that targets customers who simply want to pick up their drink and who prefer advance payment options. After ordering and paying on the Starbucks app, customers just look for their name on the status board when they arrive at the store and collect their order. 5

Starbucks is speeding up plans to roll out the new concept to help boost sales and to allow for mobile ordering. Starbucks has been testing the strategy at two Starbucks Pickup stores in Manhattan and Toronto. The company is also equipping employees with handheld point-of-sale devices to help increase speed of service in drive-throughs. 10

Kevin Johnson, President and CEO said, "Every step of the way, we have thoughtfully addressed the needs of Starbucks' stakeholders and are particularly proud of the industry-leading investments we have made to support our stores while creating a safe, familiar and convenient experience for our customers." 15

Starbucks shares are up more than 30% since a dip in March 2020 and increased by 6% after the announcement.

Extract G

Starbucks America results, June 2020

	June 2020	June 2019
Store sales growth	-41%	7%
Change in the number of transactions	-53%	3%

Revenue	\$2 805.5m	\$4 681.1m
Operating income (loss)	-\$404.9m	\$1 018.7m
Operating margin	-14.4%	21.8%



The objective the business is attempting to achieve is....	
Paragraph 1 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE STATED BUSINESS OBJECTIVE?	One advantage is.... This is because... Consequently/This means/This will lead to... Therefore... As a result, ...
Paragraph 2 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	Another advantage is ... This is because... Consequently/This means/This will lead to... Therefore... As a result, ...
Paragraph 3 POINT	However, one disadvantage/limitation/point to consider is.... This is because...

IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE STATED BUSINESS OBJECTIVE?	Consequently/This means/This will lead to... Therefore... As a result, ...
Paragraph 4 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	Another disadvantage/limitation/point to consider is.... This is because... Consequently/This means/This will lead to... Therefore... As a result, ...
Conclusion: <u>4W's</u> Which option? Why? What factors does the success of your chosen option depend upon?	Overall, (directly answer the question asked) This is because... Success will depend on... It is recommended that...